NVIDIA: watch / defer

Investment committee | No current position | 12-24 month decision horizon

Historical valuation: September 10, 2026 US close. Prepared October 19, 2026. USD/share; model statements in USD millions. This is a dated academic decision, not an October 19 live-price recommendation.

Committee ask and valuation range

WATCH / DEFER at $218.36. Causal FCFF range **$56-$212**, with a base reference around **$119**. No probabilities or mechanical average are asserted. The price is above our base and slightly above the modeled high case. Consider initiation only below roughly **$95**, a 20% margin of safety to the refreshed base value, AND after demand, collections, margin and contingent-exposure conditions pass. If financing/demand downside is substantiated, do not initiate even at a superficially cheap price.

Business evidence and operating judgment

NVIDIA's Q2 FY27 revenue 96,221 and Data Center 89,023 demonstrate rapid AI-infrastructure adoption; Q3 guidance 108,000 assumes no China DCcompute revenue. LTM revenue 302,970=FY26 215,938+currentH1 177,837-priorH1 90,805. Base DC growth 40/30/22/15/10% fades as competition, customer funding and power constraints rise. Edge growth 15/12/10/8/6%; GM 74% fades to 72%; R&D 8.6% sales and SG&A 3% GP retain operating costs. These are our assumptions, not management's five-year guidance.

The prior labs correctly raised durability and margin questions, but annual growth alone cannot value the stock. Base DSO 75, inventory 125 and DPO 60 days require collections and inventory improvement. Forecast SBC is replaced with cash compensation of equal cost; no free-labor addback or buyback benefit. Tax 18%, capex 3% sales, explicit depreciation/amortization and working capital drive five articulated income, balance and cash-flow statements. No balancing equity plug or automatic borrowing conceals a deficit.

DCF and complete ownership bridge

Base WACC **13.90%**: nominal Treasury 4.95% + assumed beta 1.8 * assumed ERP 5%; debt spread 1%, market-value weights and 18% tax. Terminal g 3%, ROIC 25% require reinvesting 12% of NOPAT; terminal value is **65.1% of EV**. This dependence limits conviction. A WACC/g grid and signed-cash-flow/boundary checks accompany the result. Equity uses 24,242 M diluted proxy shares:24,147 period-end basic plus 95 incremental quarter dilution; not annual weighted 24,514.

Reported cash 22,443 + debt securities 34,143 are distinct from equity investments. Bridge adds separately haircut public holdings and private/other investments, deducts operating-cash 10,000/tax reserve 1,700, fair debt 31,400, Groq consideration 986, future-investment recovery shortfalls and a base 2,500 guarantee-loss assumption at year 3. Pending Hugging Face is cost-inclusive:11,900 purchase cash plus up to 1,000 retention cash substitute in year 1, zero acquired operating benefit. Purchase allocation/payment mix remain unresolved; no invented synergy. Financial investments never scale as operating working capital.

Disagreement across methods and market expectations

Policy retained from Lab 8 admits profitable fabless designers: AMD use with mix/margin qualification; Broadcom qualify for material software/custom silicon. At the same September 10 close, annual GAAP P/E is AMD 190.04 x and AVGO 75.65 x; EV/annual sales is AMD 23.83 x and AVGO 28.16 x, with latest-public financial bridges and quarter diluted-share proxies. P/E suggests approximately$371-$931; EV/sales$213-$252. These are weak market-context intervals: annual denominators lag explosive growth, AMD margins differ and AVGO includes software. Dropping either peer selects the other endpoint. We do not average them into the DCF range. No defensible control-transaction multiple is available; the pending platform acquisition has different synergy/control context and insufficient audited denominators.

At fixed base economics, the market price implies adding **19.8 pp** to every DC growth assumption, giving approximately 60%, 50%, 42%, 35%, 30% growth and year 5 total revenue **$1,692 bn**. This is one conditional reverse-DCF solution, not the uniquely correct explanation of price. A lower WACC or stronger margins could imply another solution.

Downside that changes the action

Low case DC growth 20/15/10/5/3%, GM 70% to 66%, DSO 95 and inventory 155 days combines slower deployments, customer-financing pressure and stranded supply. It adds 10,000 incremental supply-loss expense and 25,000 expected guarantee-call claim at year 3; value around$56 and **DO NOT INITIATE**. High case requires sustained adoption and improved collections/margins, not an arbitrary price premium; around$212. The $279 bn supplier commitments are not customer orders. Note 10 also reports $56 bn additional cloud/third-party lease commitments and a $105 bn SB Energy guarantee cap. These exposures are not all certain present debt, but they make unsupported backlog claims dangerous. Expected-loss assumptions require better recourse/collateral/default evidence.

Conditions, reversal triggers and next evidence

Revisit at every quarterly filing. Initiation requires price below the refreshed base entry ceiling, credible DC growth and collections, margin>=72%, and commitments funded without new owner-cost surprises. Two-quarter DC growth<20%, DSO>95, GM<70% or material capacity/guarantee losses support the no-initiate case. Durable faster demand with margin and payment conversion intact supports revising upward. Refresh prices, nominal rates, diluted awards, debt, investment realizations, pending-deal financing and guarantee terms before any trade. The July 26-to-September 10 balance roll-forward assumes uniform operating cash generation; actual interim cash data can change the bridge. Rounded investment classification and simplified leases/acquisition allocation are disclosed limits.

Validation and evidence status

The offline engine passes 15/15 claim-focused checks: official training answers, independent cash/debt/source definitions, forecast articulation, monotonicity, EV/equity, signed flows, dilution, liquidity/corruption failure injection, quantified investment contamination and decision-altering downside. A new-venv cold run reproduces four outputs byte-for-byte. A-to-B research is documented and the existing NVIDIA Edition A text is unchanged. Original checkpoint PDF/receipt, authentic human AI-off lock, confirmed partner attribution and three student videos/transcripts remain incomplete; technical success does not certify these requirements or a rubric score.

Sources: NVDA FY26 10-K, Q2 FY27 10-Q / Notes 5-11, Q2 release, Sep 3 pending acquisition, Treasury September rates. Peer/price observations and complete date/field lineage: data/source-map.md; values and scenario detail: outputs/visible-output.md. All reviewed October 19; evidence cutoff September 10. AI research/coding/writing/QA by Codex; no human authorship or completed video is implied.